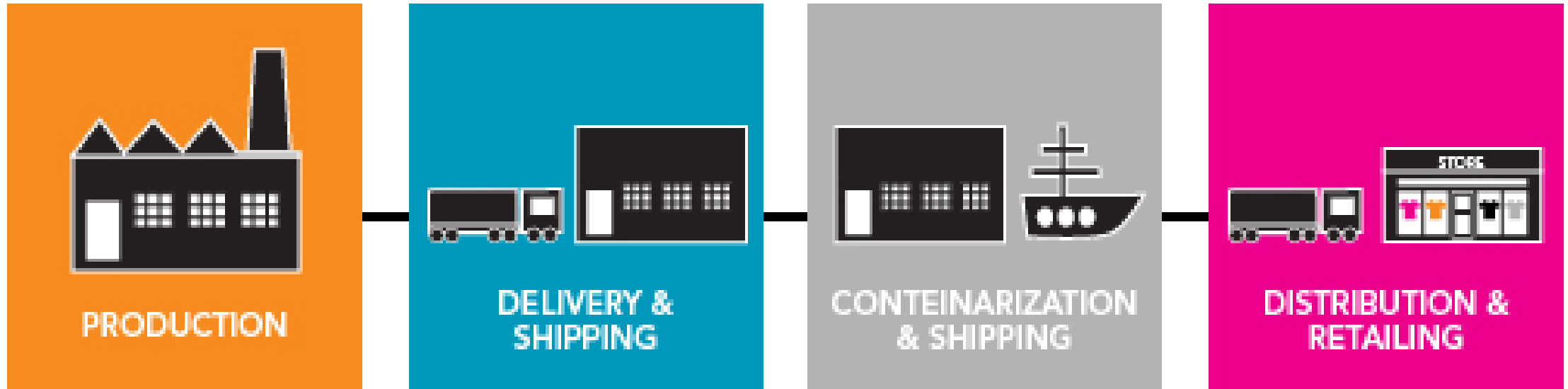




Distribution Channel (2)

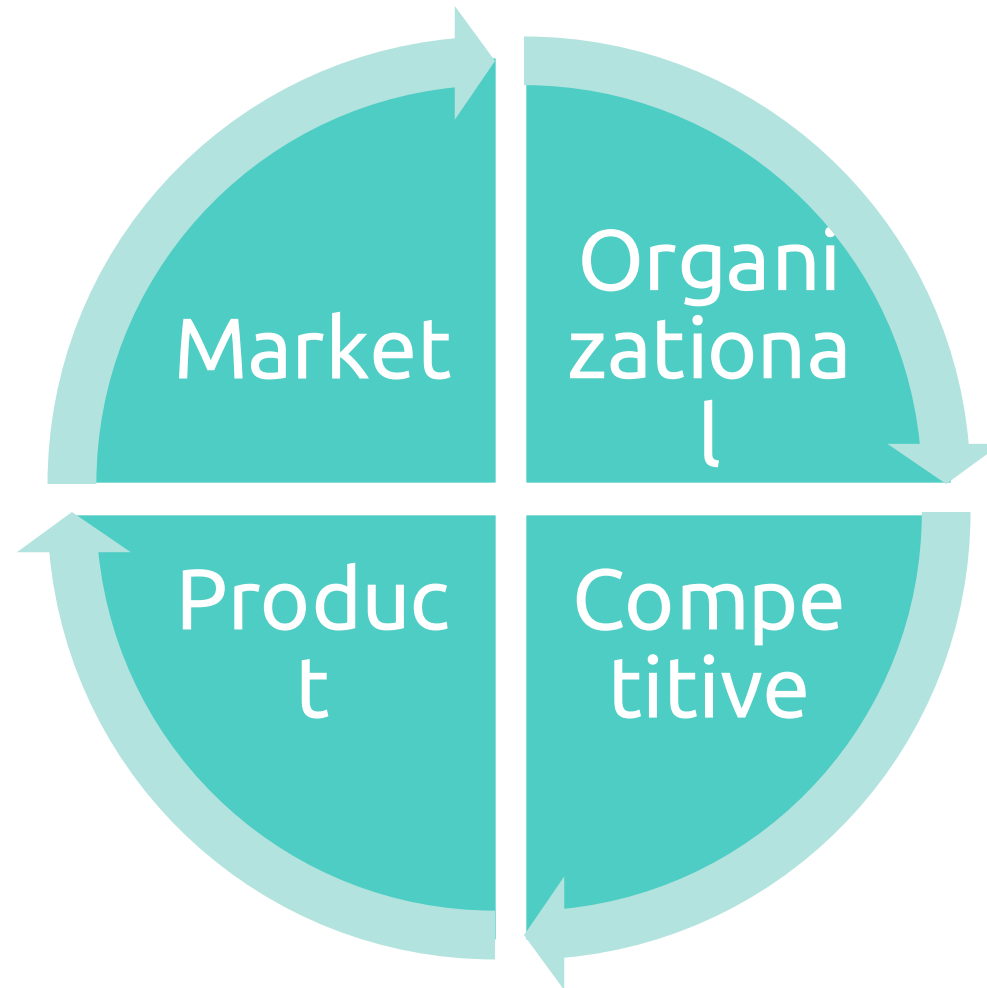
Apiradee Wongkitrungrueng, Ph.D.

Recap

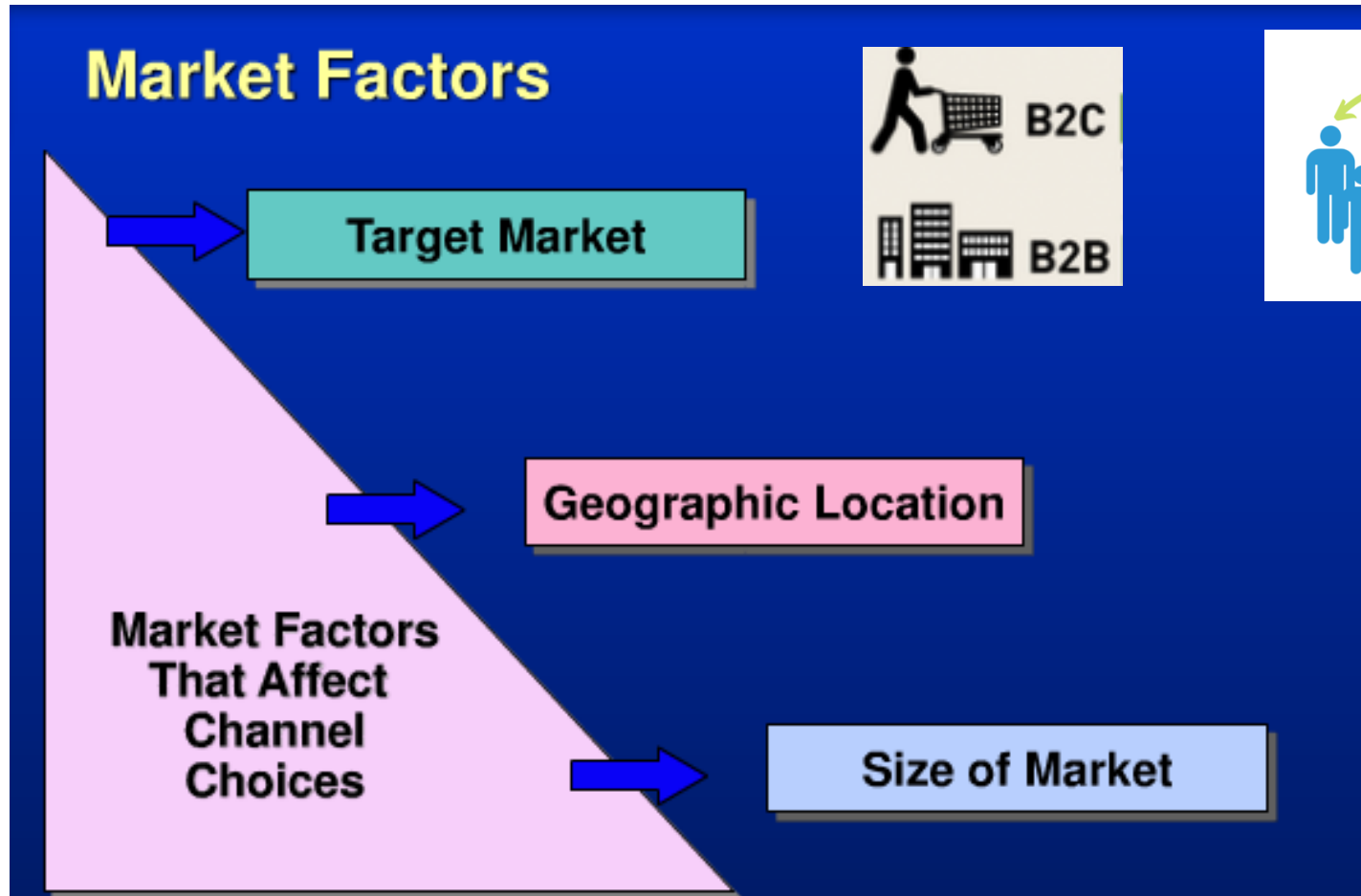


- Distribution Channel
 - perform *transaction, logistics, and facilitation* functions
 - provide specialization and contact efficiency, and overcome discrepancies
 - affect sales/revenue, costs, customer satisfaction
 - Channel design
 1. Analyze consumer needs - what customers expect from channels, how customers shop, when, where, how often
 - evaluate against costs/resources
 - tailor to each segment
 2. Establish channel objectives
 - Common objectives: sales, efficiency, time/place utilities
 - Express in terms of targeted service level
 3. Identify channel alternatives
 - Direct/indirect/dual channel,
 - Channel length and types of channel,
 - Distribution intensity
- 

Factors affecting channel decision ★



Market Factor



Product Factors



Product Factors

→ **Product Complexity**

→ **Product Price**



**Product Factors
That Affect
Channel
Choices**

→ **Product Life Cycle**



→ **Product Delicacy**



Organizational Factors

Producer Factors

- Financial
- Human
- Knowledge

Producer Resources

Number of Product Lines

Producer Factors
That Affect
Channel
Choices

Desire for Channel Control

amazon
logistics



Starbucks

- Franchising allows chains to open more locations, faster and with fewer costs for the company. It's a system that has allowed McDonald's to open more than 36,000 locations. However, despite having more than 24,000 locations worldwide, Starbucks has refused to franchise its standalone stores
 - Starbucks CEO Howard Schultz described in a book "Pour Your Heart Into It"
 - He's opposed to franchising, admitting he wants to maintain a "fanatical" level of control over his stores.
 - Franchisees are middlemen who would stand between us and our customer. If we had franchised, Starbucks would have lost the common culture that made us strong. We teach baristas not only how to handle the coffee properly but also how to impart to customers our passion for our products. They understand the vision and value system of the company, which is seldom the case when someone else's employees are serving Starbucks coffee.
 - As Starbucks has expanded internationally, the coffee giant has worked with other companies and individuals that have become licensed partners in the business
 - Starbucks began operations in Thailand in 1998 and in 2019 has licensed Thai operations to a joint venture between Hong Kong-based Maxim's Caterers Limited and F&N Retail Connection Co. Ltd, a company owned by Chareon's Thai Beverage Pcl.
 - Starbucks x Nestle introduces packaged goods and ready-to-drink coffee, and coffee solutions to businesses
-



- Nestle x Starbucks have released a variety of products including whole bean, roast and ground coffee, refrigerated coffee creamers, cold brews, and Starbucks capsules for Nespresso and Dolce Gusto, and ready-to-drink coffee.
- Nestle Professional introduced We Proudly Serve Starbucks® Coffee Program to help the business (office, hospital, university, hotel) to elevate the beverage experience for their customers with greater convenience by offering a Starbucks café-style coffee solution (a barista-served, self-serve, brewed solution with an option of cashless payment). They provide the mix of products, equipment, and support for the specific needs of each location.



Competitive Factors

Compete in the same channel

Dell - Online, sales force, Best Buy

Banks, QSR, Mobile operator often cluster together



Avoid the same channel

Mary-Kay and Avon use salespeople

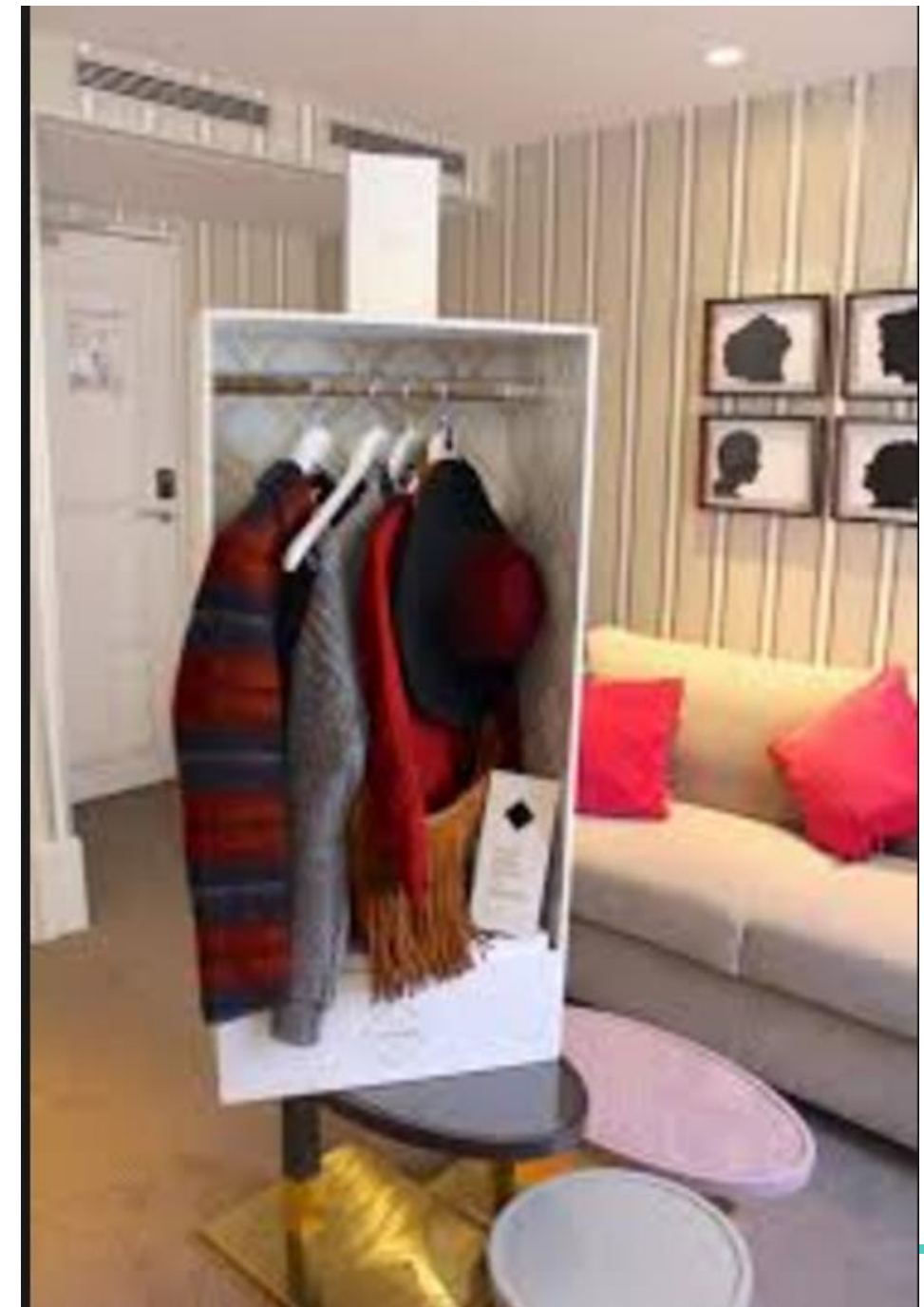
Netflix online, nintendo wii

Dollar shave club



Alternative channel

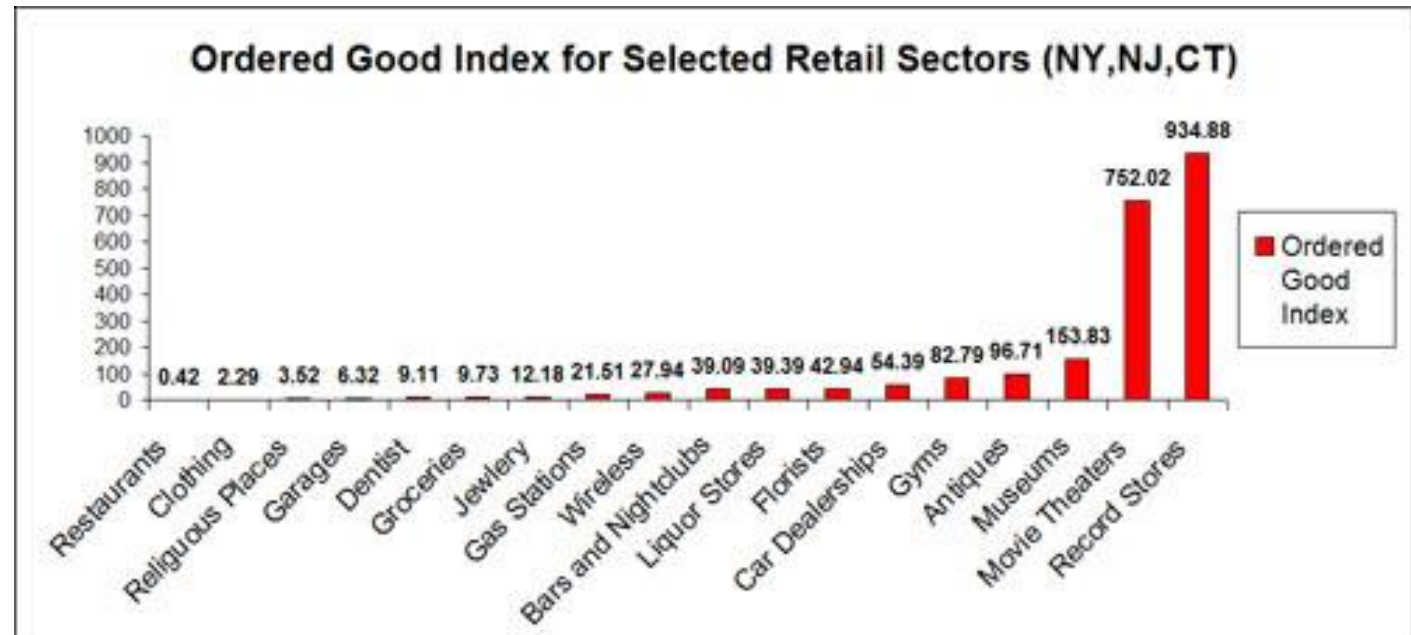
- Italian fashion brand Pimkie introduces hotel visitors to the concept of **The Mini (Fashion) Bar**.
- Based on the insight that packing the right clothes for vacation can be difficult, due to unforeseen weather or travel plan.
- A hotel closet is filled with an assortment of clothing carefully selected by stylists based on the weather, location, nearby attraction.



Why Do Certain Retail Stores Cluster Together?

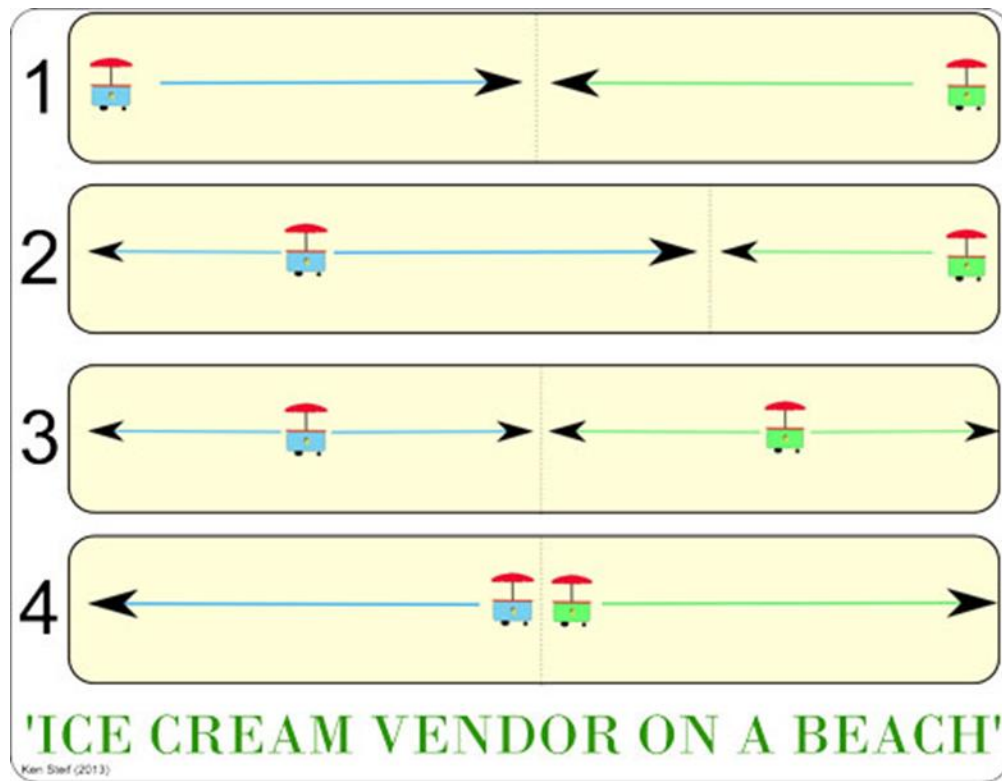
Wouldn't it be more advantageous for these stores to locate farther apart so that they can each enjoy their own dedicated market area?

- Central Place Theory
 - Higher ordered goods are those that are purchased infrequently, and people are willing to travel farther to purchase it. These goods are typically clustered together and locate in centralized areas in an attempt to share the market
 - The bigger the city, the more higher ordered goods are offered.
- Benefits
 - More customers visit the area (more options to chose)
 - A chance of getting customers of competitors



Hotelling's Law

principle of minimum differentiation



- Rival sellers tend to gravitate toward each other —in location, price, and product offerings- —because otherwise they risk losing some of the broad mainstream of customers.
- Where should two ice cream vendors set up their carts to get the most customers?"
 - Option 1: the carts to be stationed a quarter of a mile from opposite ends of the beach
 - Option 4: the two carts are situated side by side in the middle of the beach – equilibrium

Selecting MK Channel

	Characteristics of Short Channels	Characteristics of Long Channels
Market Factors	Business users Geographically concentrated Extensive technical knowledge and regular servicing required Large orders	Consumers Geographically dispersed Little technical knowledge and regular servicing not required Small orders
Product Factors	Perishable Complex Expensive	Durable Standardized Inexpensive
Organizational Factors	Manufacturer has adequate resources to perform channel functions Broad product line Channel control important	Manufacturer lacks adequate resources to perform channel functions Limited product line Channel control not important

Environmental Factors

- Socio-Economic factors
 - In a depressed economy, producers want the most economical way to distribute products
 - Brands try to reach customers where they are by setting a small kiosk in high-traffic areas (gas station, traditional market, supermarket), or a pop-up booth at office buildings, night market, and offering delivery
 - Covid-19 pandemic leads to the demand for the contactless channel e.g. drive thru, vending machine/kiosk, online channel, delivery, van sales



Busy Lifestyle, Health-conscious, Young Generation, Covid Lockdown



- Consumer behavior
 - Google search with the word 'near me'. “Near me” is no longer just about finding a specific place. It’s now about finding a specific thing, in a specific area, and in a specific period of time.



Stand-alone/road-side store's benefits

- Convenience: easy to park and shop, near their home (wear and shop casual clothes)
- Redefine customer segments
 - Adjust product assortment to meet local needs
 - Customize promotions/events for local people
 - Build brand engagement with local people
- Increase brand touchpoint and enhance omnichannel

City store concept

- The standard IKEA occupies square meters tens of thousands, and located on cheaper land outside the city.
- Since 2017, the company began developing the retail small formats, open in the high traffic, premium downtown area such as Shibuya in Tokyo, Oxford street in London, Manhattan NY, Downtown Shanghai, Downtown Paris, Sukhumvit in BKK (widely known to local/foreigner, within walking distance from BTS/MRT)
- The city store concept is a key strategy for IKEA's new expansion around the world, that responds to people's evolving shopping habits (online shopping), making IKEA more convenient and accessible than ever before
- The city store serves as a planning studio for shoppers to select items to be delivered to their homes from nearby warehouse or sister stores, with technology to help shoppers customize their designs
- Having the technology to support endless aisle and flexible fulfillment options offers customers access to the entire collection. Store associates can access inventory data and make orders from mobile devices making a better connection with customers.



- Technological factors e.g. live streaming, digital storefront, ar/vr mall, self-driving/ cashless-staffless store), virtual store in a metaverse game



MNiverse by The Mall



5 zones connecting the online and offline worlds

1. M LIFESTORE : A new department store created in a virtual world. Ready to receive special promotions and discount codes from various departments such as BEAUTY HALL, WOMEN & MEN FASHION, POWER MALL, SPORTS MALL, etc. Customers can click to shop immediately via MONLINE.COM.
2. M SHOPPING COMPLEX : General shopping zone with a variety of stores, famous brands, get free movie tickets, etc
3. M NIVERSE SOCIAL CLUB : learning zones, seminars and workshops, sky bar (movie), M Gallery (NFT showcase)
4. M NIVERSE ARENA : Large virtual hall open for famous artists or partners able to live-stream concerts and movies divided into various VIRTUAL HALLS
5. M NIVERSE PLAYGROUND : Activity Space you can join for fun and earning M Coins (games like MNIVERSE RUN and MNIVERSE CAR RACING)

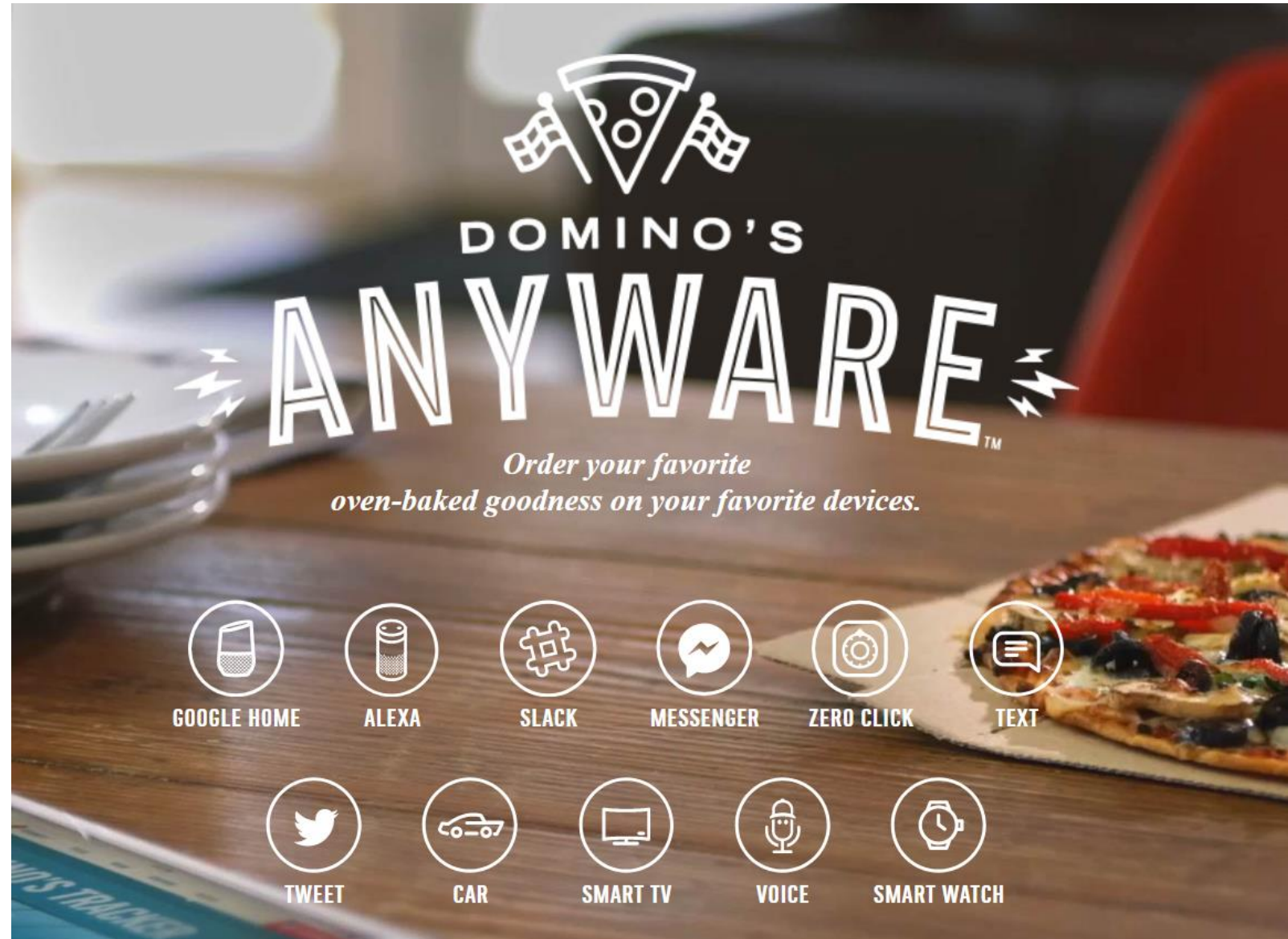
18 partners: SCB, Toyota, Coca cola distributor, Jubilee Diamond, SF cinema, Major Cineplex, Fonologue, Tencent, Mono Streaming, GMM Grammy, Plearn, Thammasat, Bangkok University, Skilllane, Intercontinental Pattaya, Viranda, Holiday Inn , Sino Pacific Trading (Jaspal, CCdoubleo, Chaps)





Domino's Anyware is a tool focused not on the product itself, but how you order it. The software (available on multiple platforms) is voice-activated, tied with an AI capable of interpreting and understanding what you want.

It improved sales, for sure, but the biggest return from this strategy is in brand image.





- Regulatory factors
 - Laws, Taxes, tariffs, and trade agreements

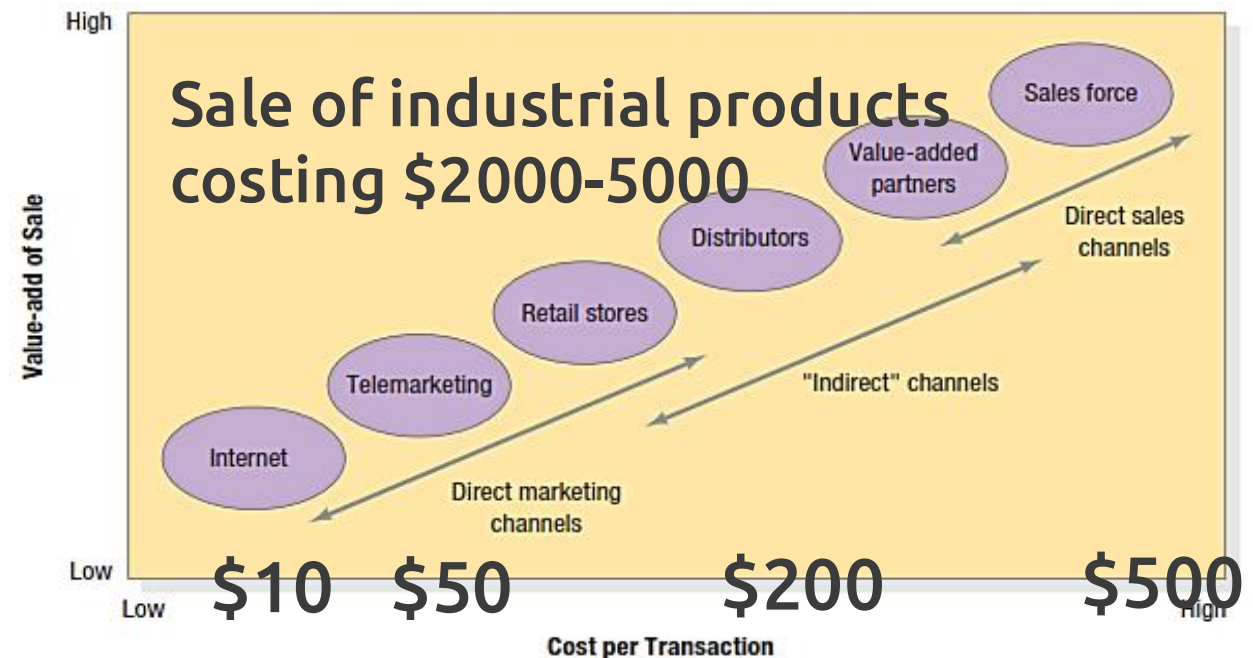
Chinese gov. banned door-to-door selling. Avon had to sell through retail shops.

Thai gov. endorsed a new retail law aimed at restricting the expansion of major foreign players to protect mom-and-pop stores.



4. Evaluating Channel Alternatives

- **Economic criteria: sales, service, profitability**
 - Provide the best coverage of the target market
 - Best satisfy the buyer's requirements
 - Waiting and delivery time, convenience, variety, service
 - Most profitable
 - $\text{Margin} = \text{Revenue} - \text{channel costs (distribution, ad, selling costs)}$
 - Cost
 - Average transaction at a full-service branch costs bank \$4.07
 - A phone transaction costs \$.54
 - ATM transaction costs \$.27
 - A web-based transaction costs only \$.01



4. Evaluating Channel Alternatives



- **Control criteria**
 - The agent might not master the technical details of the company's product or handle its promotion materials effectively.
 - Keep control, able to motivate and evaluate performance
 - **Adaptability criteria**
 - Usually, channels involve long-term commitment (less flexibility)
 - Flexible to adapt to environmental changes
 - **Fit criteria**
 - The target customer (e.g. elderly – online)
 - The brand positioning/image (e.g. luxury vs. hypermart)
 - The organization's resources
- 

Evaluation Questions



5.Determining terms and responsibilities



- Individual party
 - Price policies (list price, discounts), Gross Profit
 - Product assortment (exclusive dealing, tying agreement)
 - Conditions of sale (inventory levels, return)
 - Territory rights (conflict among dealers, sign new dealer)
 - Specific services (installation, return, repairing)
 - Mutual services and duties
 - McDonald's provide franchisee with promotion, a record-keeping system, training, and general assistance
 - Franchisee must meet the firm standard for physical facilities, food quality, cooperate with promotion, and buy specified food products
- 

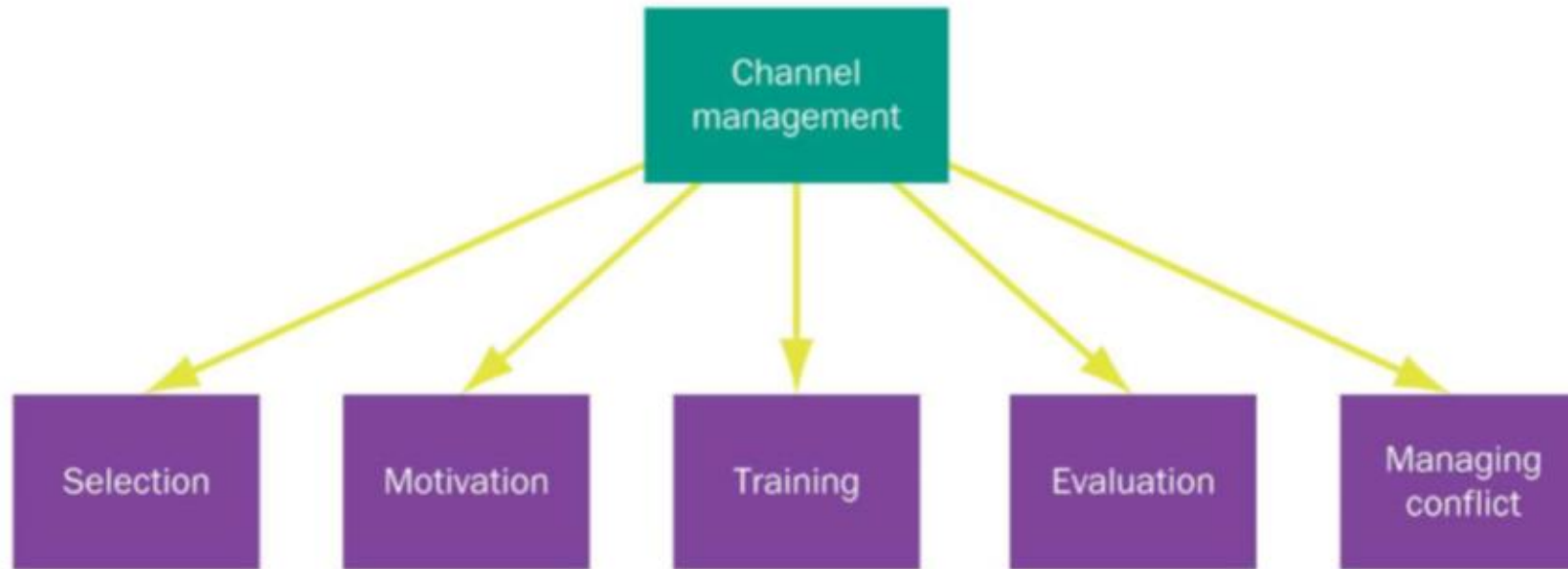
Coca-Cola

vs.

pepsi



Coke comes out the undisputed winner, with big contracts with McDonald's, Subway, and Burger King.



- ❖ Manage, control, motivate channel members to do their best
- ❖ Build a good relationship with channel members who may be considered as the **first-line customer and partner (MARKET TO& WITH CHANNEL)**
- ❖ For the entire channel to perform well, they should understand their roles, coordinate their activities, and cooperate to attain **overall channel goals.**

The success depends on all channel members

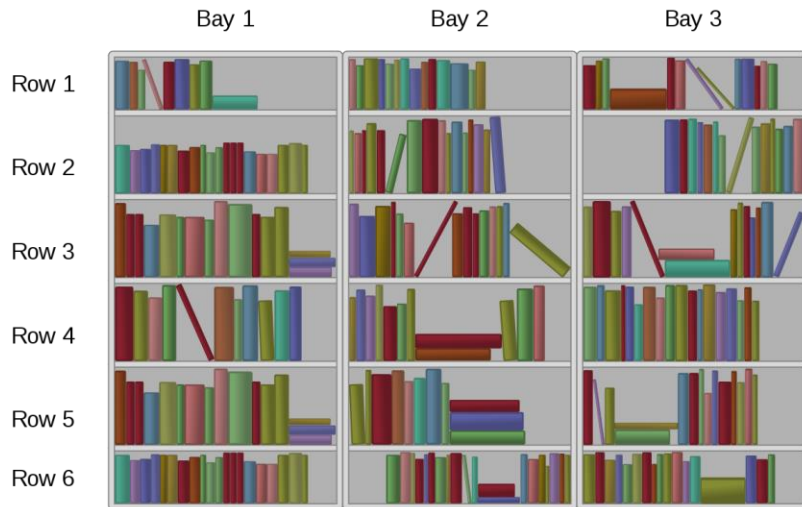
- ❖ Ford depends on Ford dealers
 - ❖ to promote (attract consumers, persuade them to buy)
 - ❖ to provide goods and service
 - ❖ Ford dealers depend on Ford
 - ❖ to design quality car that meet consumer needs
 - ❖ Ford dealers depend on other dealers
 - ❖ to provide good sales and service that uphold the company's reputation
 - ❖ The success of Ford depends on how well the entire distribution channel perform, how well each member performs its roles
-

Channel Management

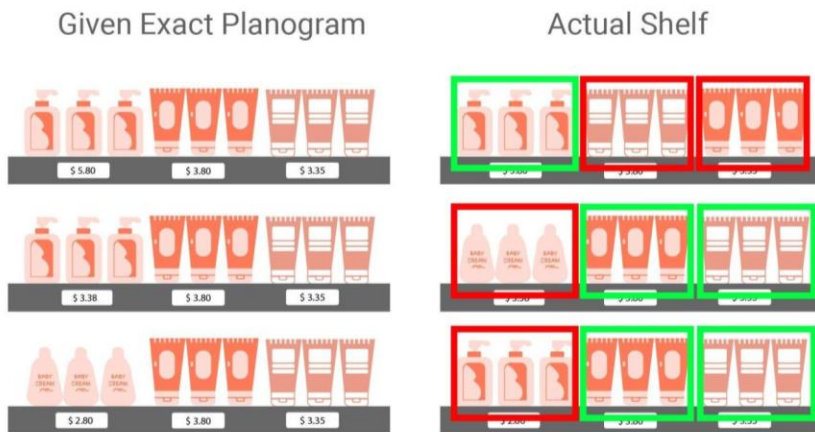


- Cooperate as a part of a value delivery system to attain mutual goals
 - P&G work closely with Target. Jointly plan merchandising goal and strategy, inventory level, and promotion program
 - Motivate individual channel members :
 - Positive motivators → higher margins, special deals, discounts, advertising/display allowances, assistance
 - Negative motivators → threatening to reduce margins, to slow down delivery, or to end the relationship altogether
 - Evaluate their performance over time
 - Evaluating standards →
 - sales quotas, average inventory levels,
 - customer service, delivery time,
 - treatment of damaged and lost goods,
 - cooperation in company promotion and training programs
- 

Field Visit



Exact planogram



Compliance Score

All Products Available ✓
 Right Shelf ✗
 Specified Sequence ✗
 Right Quantity ✓

Total Compliance = 55.6%

Product

- Status (aging, no sales, out of stock,
- Packaging problem

Price

- Price tag
- Align with promotion

Place

- Display follow the guideline
- Planogram

Promotion

- Promotion compliance
- Point-of-sales material

Other

- Movement of competitor, other categories

Example of Chanel Analysis

Three months Total	Facebook	Instagram	Tiktok	Shopee	Lazada
Sales	128,585	285,970	688,211	1,823,838	171,730
Spending	117,137	161,153	309,153	321,366	27,181
Order	390	761	1869	4422	319
Messages	6575	7,129	-	-	-
CPO (cost per order)	300	212	165	73	85
CPM (cost per message)	18	23	-	-	-
Conversion rate from message to order (CR MTO)	5.93%	10.67%			
Basket size	330	376	368	412	538
MKT % (spending/sales) ratio	91.10%	56.35%	44.92%	17.62%	15.83%
ROI (sales-spending)/spending	8.9%	43.65%	55.08%	82.38%	84.17%
	Highest cost per order, lowest cost per message, lowest basket size, lowest conversion rate, lowest return	Highest cost per message, highest conversion rate		Lowest cost per message	Highest basket size, lowest mkt cost, highest return on investment

CHANNEL TRENDS

- Roles of producers, wholesalers, retailers overlap.
 - Disintermediation/Direct-to-customer model
- Omnichannel:
 - multiple channels are connected.
 - Offline retailer expands online, and online retailer expands offline
- How offline store can survive: reverse showrooming and retail-tainment concept
- New types of retail store: curated store, multi-brand store, specialized store to serve niche



←
Retailer
&
Producer
→



Amazon now operate >500 physical stores

Disintermediation

- Phenomenon of removing intermediaries in the supply chain
 - manufacturers sell directly to consumers (e.g. Apple sell online/own stores)
 - retailers try to reduce intermediaries (Wal-Mart buys directly from farmers, Amazon sidesteps UPS/FedEx via Amazon logistics)
- Benefits
- decreases cost
 - allows the manufacturer to increase margins
 - create a direct relationship with the end-customer



Multichannel



All channels available to the consumer but are not integrated.

Omnichannel



All channels available to the consumer and they are connected.

Omni-channel



A multichannel approach to sales that seeks to provide the customer with a seamless shopping experience

Shop online, pick up/return in store

Book a ticket and check timing via app, no need to wait in a long queue

Shop in store (product not available), order it online, have it delivered to your home

In-store employees can access to the customer's previous purchases and preference records

In-store employees are armed with Tablets to give shoppers on-the-spot info on product availability

Points can be collected and used both online and offline



amazon dash

Shopping made simple

- **Simply say it or scan it** — add items to your shopping list from anywhere in your home.
- **Easy to use for the whole family** — everyone can help.
- **Add items as you go** — shop effortlessly throughout your day.
- **Never forget an item again** — Dash remembers so you don't have to.

By invitation only.

Sign in with Amazon account

HOW IT WORKS

1x SET UP
amazon dash
Replenishment

ACTIVATE
YOUR PITCHER

DRINK WATER

VIA WI-FI, PITCHER
NOTIFIES AMAZON
WHEN A NEW FILTER
IS ALMOST DUE

NEW FILTER
DELIVERED
JUST IN TIME



Central Group



Marketplace



E-ordering



Click & collect



Targeted and personalized offers



Express delivery



Omnichannel customer-centric approach

Happier customer ► Higher growth

CENTRAL CHAT & SHOP

ขั้นตอนง่ายๆ
Easy Steps...
ข้อปจอบครบทุกแพลตฟอร์ม

CHAT → **SHOP**

B2S Super Express CENTRAL ZEN

OFFLINE vs. OMNI CUSTOMER

Offline Only Customer	OMNI Customer
2,500,000 customers	43,000 customers
12,524 THB	36,387 THB



Store Try-On

Up to 5 frames to decide

Try at 100+ locations nationwide

Explore other brands

More brands at store to choose from

Receive free eye exam right away

Professional service, free of charge



Showroom Try-On

All products in one place

Try 150+ product selections at once

Ideal for BTS commuters

Located at Silom & Ekamai

Get free eye exam nearby

Visit store within walking distance

Our Partner Stores

Getting Your Prescription

- Visit any branch of Better Vision stores.
- Inform that you are Glazziq's customer and provide your phone number.
- Get your eye prescription from our professional team.
- With your information, the factory will fit your new glasses and deliver to your home.

After-Sales Service

If you need your eyeglasses adjusted or cleaned, our partner stores are happy to serve you. Just bring your Glazziq eyeglasses to any partner store.

Home Try-On

Try 3 frames at home for 3 days. Return at 7-Eleven.



Pick 3 Frames

Add those pairs to Home Try-On cart.
Checkout order with your credit/debit card.



Try for 3 Days

Once you find the pair you love,
simply order new one with \$20 discount.



Return at 7-Eleven

Pack all of them back and return at 7-Eleven.
Free of charge!

RETAIL OF THE
FUTURE



เมอร์เซเดส-เบนซ์ กับโมเดลธุรกิจที่พลิกโฉมตลาดรถยนต์ลักซ์วรี



One Price

ซื้อรถเท่าเทียม
ราคาเดียวทั่วประเทศ



Centralized Stock

เข้าถึงรถยนต์ทุกรุ่น
จากคลังสินค้าส่วนกลาง



Customer Experience

ยกระดับประสบการณ์
แบบลักซ์วรีในทุกมิติ



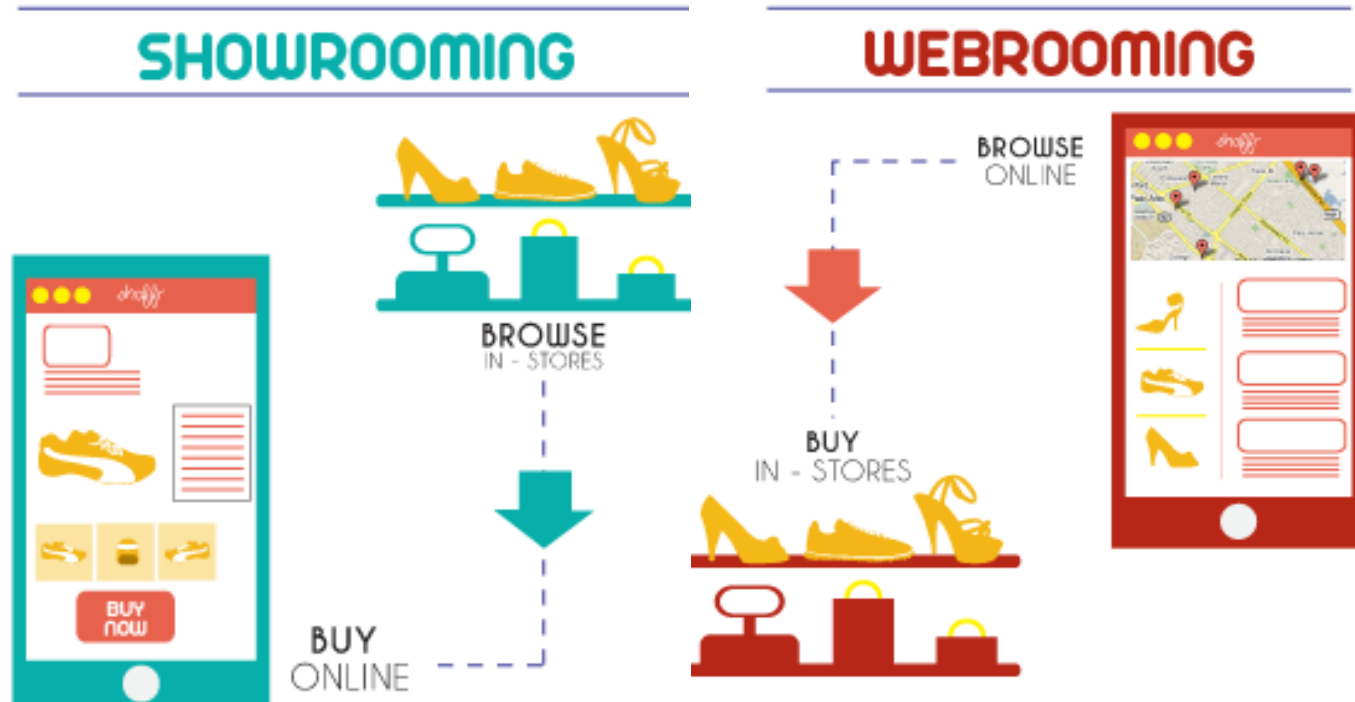
Seamless O2O

ผสานแพลตฟอร์มออนไลน์
และออฟไลน์อย่างไร้รอยต่อ

Showrooming and Webrooming

- **Showrooming** is when a shopper visits a store to check out a product but then purchases the product online from home.

- **Webrooming** is when consumers research products online before going into the store for a final evaluation and purchase.



- Offline retailers have realized they have a lot to offer to reverse showrooming
 - **Skilled and attentive sales staff can encourage conversion of browsers into actual customers, upsell/cross-sell, resulting in more sales/revenue.**



Reasons for shopping in-store (%)

Household

Clothing

Gifts

Health
& Beauty

Furniture

DIY

Electronics

I like to see what I'm buying

77

81

77

65

81

69

53

I like to touch/try what I'm buying

39

63

41

31

65

39

33

I don't have to wait for delivery

49

37

38

45

27

40

39

It's quicker

42

31

34

40

24

31

36

It's easier to buy items

32

31

23

27

26

23

30

I can ask for advice

13

12

15

16

28

33

40

It's easier to return items

24

33

28

16

16

22

23

It's a nicer experience

17

21

20

16

20

13

16

There are better offers available

18

16

16

15

14

11

17

Experiential Retail and Retail-tainment

- Due to the rise of online shopping, retailers have been forced to rethink their role in the marketplace and find new, creative ways of getting customers back through their doors.
 - In-store experiences can take shopping **from being a transactional chore to a social activity, a stress-reliever and an enjoyable way to spend your free time.**
 - Studies have shown that people are spending less in retail stores and prefer an experience to material goods.
 - **Forms of retail-tainment** are introducing Lifestyle section into store
 - creating a lounge area with comfortable chairs, speedy Wi-Fi and snacks
 - offering a workshop e.g. cooking, yoga class, make up class
 - organizing art exhibition, music events, community talks, and educational meet-ups in stores
 - House of Vans, U.K. offers an array of experiences: live music, art, street culture, fashion, cinema, a BMX track designed by skaters, and a cafe.
-

Focus on customer experience



Cereal Killer Cafe



Board Game Café





PGA tour superstore with simulator and workshops



Eddie Bauer's eight-foot room features climate controls that can drop the temp to 10°F, with high-powered fans simulating wind chill. That allows customers to step into the cold and see how the apparel holds up.



SHOPPING WITH A SIDE OF COFFEE

- Coffee shopping is named for the social, cafe-like, atmosphere that's designed to entice shoppers to spend time in physical locations.





Hamleys - The Finest Toy Shop in the World

Hi Tech vs. Hi Touch



Multi-brand Store

- Bringing multiple brands into one store is a marriage of convenience, and solve both brands' & consumer's pain points
- A number of retailers have units bigger than they need and concessions are a commercial way of mitigating costs



Space maximization





- **Curated shopping** is finding the best products in the industry and compile it in one place
- A **store** that carries a highly curated selection of products based on
 - **Reviews** - premised on items sold on Amazon.com with 4 stars and above rating.
 - **Sales Data** - identify top selling items, and helps keep inventory turnover high.
 - **Customer Data** - such as Most Wished For items are identified and displayed.
- It stocks items from top categories across Amazon.com that have an average review rating of 4 stars. There are also sections for new / trending and top sellers, where featured products don't necessarily have to meet the 4-star bar.

Specialized store

- Lawson
 - Lawson store 100 targeting small, urban middle-class families
 - Natural Lawson targeting health-conscious consumers
 - Happy Lawson targeting mom and kids
 - Lawson fresh, online grocery store targeting Internet community
 - Specialized services for the elderly
 - A variety of nursing care goods (diaper, soft meals)
 - Friendly facilities – easy access for wheelchair customers e.g. handle bars/baskets placed lower
 - Nursing care specialist provide consultation counters focused on family care, insurance
 - Social spaces where senior customers can meet and interact.

